

The large investors who've caught this trading habit are fast becoming the short-term churning suckers that neighborhood brokers used to love. Some have called it the "rent-a-stock market." Now it's the amateurs who are prudent and the professionals who are flighty. The public is the comforting and stabilizing factor.

The flightiness of trust departments, the Wall Street establishment, and the Boston financial district may be an opportunity for you. You can wait for out-of-favor stocks to hit the crazy low prices, then buy them.

I've been hearing that the October 19th drop, which happened on a Monday, was only one of several historic declines that have taken place on Mondays, and researchers have spent entire careers studying the Monday effect. They were even talking about the Monday effect back when I went to Wharton.

After looking this up, I've discovered that there seems to be something to it: from 1953 through 1984 the stock market gained 919.6 points overall, but lost 1,565 points on Mondays. In 1973 the market was ahead 169 points overall, but down 149 on Mondays; in 1974, down 235 overall and 149 on Mondays; in 1984, ahead 149 overall and down 47 on Mondays; in 1987, down 483 on Mondays and up 42 overall.

If there is a Monday effect, I think I know why. Investors can't talk to companies for two days over the weekend. All of the usual sources of fundamental news are shut down, giving people sixty hours to worry about the yen sell-off, the yen bid-up, the flooding in the Nile River, the damage to the Brazilian coffee crop, the progress of the killer bees, or other horrors and cataclysms reported in the Sunday papers. The weekend is also when people have time to read the gloomy long-term forecasts of economists who write guest columns on the op-ed pages.

Unless you're careful to sleep late and ignore the general business news, so many fears and suspicions can build up on weekends that by Monday morning you're ready to sell all your stocks. That, it seems to me, is the principal cause of the Monday effect. (By late Monday you've had a chance to call a company or two and find out that they haven't gone out of business, which is why stocks rebound the rest of the week.)

I've been hearing that the 1987-88 market is a rerun of the 1929-30 market and we're about to enter another great depression. So far, the 1987-88 market has behaved quite similarly to the 1929-30 market, but so what? If we have another depression, it won't be because the stock market crashed, any more than the earlier depression happened because the stock market crashed. In those days, only one percent of Americans owned stocks.

The earlier depression was caused by an economic slowdown in a country in which 66 percent of the work force was in manufacturing, 22 percent was in